

C3 – PROTECTING SENIORS & DISABLED VS COLA REALITY

(Contradictions Ledger – Evidence Sheet)

I. THE OFFICIAL NARRATIVE (“WORDS”)

From 2018–2025, federal officials repeatedly told the public that Social Security and related programs “protect purchasing power” and give seniors and disabled Americans “breathing room.”

Representative themes include:

- Seniors and disabled people should be able to retire or live with “economic security and dignity.”
- Annual cost-of-living adjustments (COLA) will “help tens of millions keep up with expenses.”
- Seniors will “get ahead of inflation” and have “a little extra breathing room.”
- Medicare premiums “going down” plus benefits “going up” will provide “peace of mind.”
- The federal government is “committed to protecting Social Security” and ensuring the system remains “strong.”
- COLA is described as “a vital part” of how Social Security makes benefits reflect “today’s economic realities.”

Together, these statements create a public narrative that the COLA formula and benefit structure are working as intended to keep older and disabled Americans whole against inflation.

II. HOUSEHOLD OUTCOMES (“OUTCOMES”)

The data behind those assurances show that seniors and disabled Americans are, in fact, falling behind.

1. Medicare Part B Premiums Eating COLA

Medicare Part B premiums have risen enough in recent years that they consume a significant portion of the annual COLA increase. For a low-income beneficiary, an increase of roughly \$18 per month in premiums can wipe out much of a modest percentage raise, leaving little for food, housing, or other necessities.

2. Senior Poverty Rates Using a Realistic Measure

The Supplemental Poverty Measure (SPM), which accounts for out-of-pocket medical and housing costs, shows higher poverty among older adults than the “official” poverty rate. Seniors appear significantly more likely to be poor once their true expenses are counted, contradicting claims that they are being protected from rising costs.

3. Senior Housing Cost Burden at Record Levels

Harvard Joint Center for Housing Studies reports that more than 12 million older households are cost-burdened, paying over 30 percent of their income toward housing, and that millions of them pay more than half. This is a record level of housing strain on seniors, despite assurances that benefits keep up with the cost of living.

4. Elderly Inflation (CPI-E) vs Worker Inflation (CPI-W)

The COLA formula is pegged to CPI-W, an index based on spending patterns of wage earners, not seniors. Research on CPI-E, an experimental index for elderly households, shows higher inflation over many years because older people spend more on categories like healthcare and housing. That means COLA systematically undercompensates seniors relative to their actual spending.

5. Long-Run Buying Power Erosion

Analyses of Social Security purchasing power find that over the last decade plus, benefits have lost around a fifth of their buying power. Essential costs—especially housing, utilities, food, and medical care—have risen faster than COLA. The longer someone remains on benefits, the further behind they fall.

The combined effect is that, even as COLA increases are announced and celebrated, seniors and disabled people face rising poverty, higher housing and medical burdens, and shrinking real checks once premiums and basic expenses are deducted.

III. THE CONTRADICTION

Publicly, leaders say that COLA “keeps up with inflation,” gives seniors “breathing room,” and ensures they can retire with “economic security and dignity.” Privately, in the government’s own data:

- Senior poverty rates are higher when realistic costs are counted.
- Millions of older households are cost-burdened by housing, with many paying more than half their income in rent.
- Medicare premiums and other medical costs eat into checks year after year.
- The inflation index used for COLA underweights the very categories that dominate senior budgets.
- Analyses show a long-run loss of purchasing power for Social Security benefits.

The promise is protection; the reality is gradual erosion.

One-sentence version:

While officials claim COLA protects seniors and disabled Americans from inflation, government data show rising poverty, record housing cost burdens, and medical costs eroding roughly a fifth of their buying power over time.

IV. HARM CHANNELS

The divergence between COLA rhetoric and COLA reality creates concrete harms:

- Income erosion: Fixed-income beneficiaries lose purchasing power each year as their checks fail to keep up with the specific inflation they face.
- Housing insecurity: Older renters and owners with mortgages struggle to afford housing, increasing the risk of downsizing, forced moves, or homelessness.
- Medical trade-offs: Seniors and disabled people delay or forgo treatment, medications, or basic care due to out-of-pocket costs.
- Food insecurity: Rising food prices, especially since 2020, force fixed-income households to cut back on nutrition.
- Compounding disadvantage: Underindexation compounds over a 10- to 20-year retirement, leaving the longest-lived—often the poorest—farthest behind.

These harms arise not from a lack of COLA in name, but from a COLA formula that does not match senior and disabled spending realities.

V. APA ROUTING (AGENCY USE)

This contradiction supports several lines of Administrative Procedure Act challenge and oversight:

- vSSA – Core target: SSA’s use of CPI-W for COLA, despite evidence that it understates elder inflation, can be argued as arbitrary and capricious given the agency’s mission to protect beneficiaries’ purchasing power.
- vHUD – Senior housing cost burden statistics undercut any narrative that existing benefit structures provide adequate housing security for older renters.
- vFED – The Fed’s aggregate inflation communication can be contrasted with the much higher lived inflation experienced by fixed-income seniors, reinforcing arguments that macro stability does not equate to household stability.
- vHHS / CMS – Rising premiums and medical cost-sharing obligations for Medicare enrollees can be used to challenge narratives that seniors are being protected against healthcare inflation.
- vIRS – Indexing of tax brackets and thresholds that does not reflect elderly cost structures contributes to stealth tax burdens on seniors with modest retirement income.

This sheet offers a unified evidentiary baseline showing that official promises to “protect” seniors and disabled Americans collide with a measurable, long-run loss of real purchasing power.